ChatGPT

Flash.Trade | Perps on Solana – Early Risk Discovery Report

SECTION A – FACTS (Verified / Claimed / Unknown)

- **Project Identity:** The protocol's official name is **Flash.Trade** (often styled "Flash Trade"), a Solana-based derivatives exchange. Its website is flash.trade, and key branding includes the "Flash Beasts" NFTs (5,555 Bulls/Bears) and the "FAF" token. It is self-described as a *"decentralized asset-backed perpetuals and spot exchange on Solana"* [1] [2] . The CoinGecko profile likewise calls it a *"decentralized perpetual exchange built on Solana"* with a 2023 launch (incorporated in UAE) [3] [2] . Phantom Wallet's app page and DeFi listings emphasize the tagline *"Asset backed trading with zero price impact and on demand liquidity"* [4] [5] , echoing the project's marketing.

- **Supported Markets/Assets:** Flash.Trade offers leveraged perpetual contracts on multiple asset classes. Public documentation and third-party listings indicate coverage of major cryptocurrencies (SOL, BTC, ETH, etc.), various Solana-native tokens (JUP, RAY, 2Z, MET, etc.) and meme/tokens like BONK, PUMP, PENGU, WIF, SAMO, and FART [6] [7] . It also includes a *"Synthetic Pool"* for real-world assets: Crude Oil, Gold, Silver, and fiat currencies (EUR, GBP, AUD) [8] . (CoinGecko additionally mentions "stocks" in the asset mix [2] , but no concrete details of equity-linked contracts are public.) All trades are on-chain and permissionless, with no centralized counterparty. The protocol uses its **Flash Liquidity Pools (FLPs)** to back every position. For each supported asset, there is an on-chain pool: e.g. a Crypto Pool (FLP.1) holds crypto assets for longs, and a Synthetic Pool (FLP.2) holds stablecoins (USDC) and tokenized gold (XAUT) for commodities/FX longs [8] [9] . Long positions are collateralized in the *native asset* (the user's collateral is swapped to the asset they long) and pay out in that asset, while shorts must use USDC (or are swapped into USDC) and pay out in USDC [9] . In short, the design claims every perpetual is *"asset-backed"*: the underlying pool's assets directly guarantee settlement [10] [9] .

- **Leverage and Pricing:** The protocol advertises **up to 100× leverage** [1] [11] . (Some earlier articles noted 20×, but official docs and audit material state 100×.) It claims *"zero price impact"* or *"zero slippage"* trading due to its pooled liquidity model [4] [5] . Pricing is determined on-chain via the Pyth oracle network for each asset, with a backup oracle system for high uptime [12] [13] . The platform supports advanced order types including limit orders, stop-loss/take-profit, and trailing stops [14] . Trading hours for real-world assets (Pool 2) are tied to CME hours; positions cannot be opened or closed when those markets are closed [15] .

- **Protocol Mechanics:** Traders interact through a web UI (flash.trade / beast.flash.trade) using Solana wallets (e.g. Phantom). They supply collateral and receive leveraged exposure from the pools. Fees collected from trading feed back to liquidity providers. LPs deposit approved assets (e.g. USDC, SOL, BTC, ETH, JitoSOL for the crypto pool) and mint **FLP** tokens (auto-compounding) or **sFLP** (staking for USDC yield) [16] . Each pool maintains weighted asset balances. According to docs, the collateral pool always has enough native asset or stablecoin to fully pay out any position [9] (so there is *no maximum PnL limit* on the asset-backed pools). The system uses a *"pool-to-peer"* model rather than a traditional order book: all liquidity is shared in on-chain pools, and trades execute against that pool [17] [18] .

- **Token and NFT:** The protocol's **FAF** token (on Solana) is its native utility/governance token [19] [2]. Originally, liquidity pools were bootstrapped by minting "Flash Beasts" yield-bearing NFTs, but these were retired when the FAF token was introduced [19]. FAF tokens are mentioned as providing staking, fee discounts, and governance capabilities. (Token supply is 1e9 with no lock-up noted [20], but detailed tokenomics beyond that are not publicly documented.)

- **Dependencies:** Flash.Trade runs entirely on Solana (mainnet-beta). Key dependencies include the Solana runtime and validator network, the Pyth oracle network for price feeds (plus an unspecified "backup oracle" feed) [12] [13], and use of SPL tokens (USDC and Tether Gold (XAUT) for collateral). The on-chain program appears to be based on the open-source Solana Perpetuals framework (the team's GitHub shows a fork of solana-labs/perpetuals) [21]. (Note: the main trading programs are in a *closed-source* repo "flash-contracts-closed" – only high-level docs and audits are public.)

- **Audits & Transparency:** The GitHub "Audits" repo lists completed security assessments by reputable firms: Halborn in April 2023 and March 2024, and Offside Labs in April 2025 [22]. Offside's summary notes they found *1 critical, 2 high, 7 medium* issues [23]. These audit reports are publicly linked (audit PDFs are on GitHub) but the contents of the findings are not summarized on the main site. Aside from that, transparency signals include published documentation and SDKs. On-chain data (TVL, volume) are extremely low: CoinGecko reports ~\ $31k total locked value [24]. Phantom's app listing shows ~56k transactions and ~2.7k "active users" to date [25]. (These figures suggest the protocol is in early stage adoption.)

- **Claims vs. Reality:** We note the project's marketing claims as such: "asset-backed" trading (perpetuals are indeed structured with underlying pools [10] [9]), "zero slippage" trading [4], and support for exotic markets including equities [2]. These are *project claims*. They appear consistently on official channels and aggregators, but independent verification is limited. For example, "zero slippage" assumes infinite pool liquidity, but real pools are finite; "stock" perps are cited in PR (CoinGecko) yet no actual stock tickers or regulatory framework are published.

- **Unknowns:** Several aspects are not disclosed. The identities of the core team and location are not public. It is unclear whether the on-chain programs are upgradable or governed by any multisig. The exact mechanism of the "backup oracle" and circuit breakers is not publicly documented. Detailed tokenomics (FAF distribution, vesting) and any reserve/insurance funds are not described. How or when equity instruments (if real) will be offered is unknown. The resolution of the audits' "critical" findings has not been publicly announced. In summary, **anything beyond what's cited above is not publicly available** at this time.

SECTION B – SYSTEM MAP (Textual)

- **Architecture Overview:** Flash.Trade is built as a set of on-chain Solana programs (smart contracts) that implement a pooled perpetuals exchange. Traders and liquidity providers interact via a web interface. When a trader opens a position, they send collateral (via a wallet transaction) to the Flash.Trade program. The program automatically swaps or allocates that collateral into the appropriate pool (e.g. converting USDC to SOL to long SOL) [9]. The contract maintains user positions and balances per asset, while referencing prices from Pyth (with backups) for mark and liquidation prices [12] [13]. PnL is calculated on-chain, and outcomes (asset or stable payouts) come directly from the on-chain pools, which hold the backing collateral [10] [9].

- **Key Components:**

- *Flash Trade Program:* Core perpetuals logic (ledger of positions, margin, collateral pools). This contract code is not open-source but has been audited [22].
- *Liquidity Pools (FLPs):* On-chain accounts representing pooled collateral for each market/category. There are separate FLP pools for crypto (FLP.1), stable/synthetic assets (FLP.2), Solana tokens (FLP.3), and meme tokens (FLP.4–7) [26] [6]. Each pool issues FLP (auto-compounding) and sFLP (staked) tokens to LPs, who deposit supported assets (e.g. USDC or listed tokens) [16] [27].
- *Oracles:* Pyth network feeds real-time prices for each supported asset. A fallback oracle (possibly using the Kamino Scope aggregator, as indicated by the project's GitHub [28]) provides redundancy. The contract's state is updated with these prices for trade execution and liquidations [12] [13].
- *Trading UI:* A front-end interface (flash.trade and beast.flash.trade) connects to user wallets. It offers trading forms for all perps, pooling and unpooling flows for LPs, and account management (positions, collateral). Advanced order types (limit, stop-loss, take-profit, trailing) are provided to the user via this interface [14].

- *FAF Token & NFT:* The Flash (FAF) SPL token exists for governance and economic functions. (In the past, "Flash Beasts" NFTs were used as yield-bearing accounts, but these have been replaced by FAF-based staking [19].) FAF tokens can be staked for fee rewards and confer governance rights.

- **Flow of Assets:** Liquidity providers deposit assets into the pools via "Mint FLP/sFLP" transactions [16]. For the Crypto Pool (FLP.1), accepted deposit tokens include USDC, SOL, BTC, ETH, JitoSOL [16] [27] (the protocol swaps these into the pool's base token if needed). When a trader wants to open a long position in, say, ETH, the contract takes the trader's collateral and swaps it (on-chain, at the prevailing price) into ETH, adding it to the ETH-backed pool and crediting the trader's leveraged position [9]. If the trader then closes, the contract uses the pool's ETH to pay out. Similarly, opening a short requires USDC, which is added to the pool's stable reserves [9]. In all cases, the pools hold the actual assets that back every trade.

- **Risk Management & Controls:** The system has built-in risk features. Oracle feeds drive pricing; if Pyth fails, the backup oracle should maintain prices. Circuit breakers are reported (in project materials) to halt trading under extreme volatility [29]. Liquidations are enforced automatically on-chain when a position's margin breaches thresholds (details not public). Market hours are enforced for synthetic assets, aligning with real-world exchanges [15]. FLP pools themselves mitigate counterparty risk by ensuring traders' gains/losses are paid from the pooled assets [10] [9].

SECTION C – DEPENDENCIES & TRUST ASSUMPTIONS

- **Solana Network:** The entire protocol depends on the Solana blockchain (mainnet-beta) for transaction execution and account storage. All state (positions, collateral balances, LP stakes) is held on-chain. We must trust Solana's validator consensus and infrastructure (RPC nodes, block production). The project's repo even includes a Helius RPC proxy [30], indicating reliance on specific node infrastructure.

- **Oracles and Pricing:** Flash.Trade relies critically on external price oracles. The primary data source is **Pyth Network**, a widely-used Solana oracle. The project also mentions a "novel backup oracle" system [12] – likely an on-chain aggregator such as Kamino Scope (the GitHub lists "Kamino-Scope" code [28]). Users must trust that these oracles supply accurate, timely prices. Any failure or manipulation of these feeds could lead to mispriced trades/liquidations.

- **Collateral Tokens:** Supported collateral (USDC, XAUT, etc.) brings third-party trust assumptions. USDC on Solana is issued by Circle; XAUT is issued by Tether (tokenized gold). The protocol's safety assumes these issuers maintain reserves and do not freeze or depeg. If USDC were to lose its peg or be frozen, collateral values would be affected.

- **Smart Contract Code:** The core trading contracts are **closed-source** (in "flash-contracts-closed") but have undergone professional audits [22]. We must trust the audit outcomes and that all critical fixes have been applied. The team appears to rely on Solana Labs' perpetuals reference implementation (a public fork) [21], but any modifications they made are not public for review. It is unknown if the code is immutable or can be upgraded; any admin privileges would introduce a trust assumption in the project's operators.

- **Liquidity Pools & LP Trust:** Liquidity providers are trusting that the contract correctly credits them with fees and maintains correct accounting. FLP tokens are meant to track pool share. We assume the pool math (weighting, compounding) works as documented. If the smart contracts have bugs, LP funds could be at risk. (No insurance fund is mentioned; the design instead claims the pool itself guarantees all payouts [10].)

- **Governance & Team:** There is a native token (FAF) for governance, but the extent of decentralized decision-making is unclear. We have no public info on the team or governance process. Thus one must assume the founding team or a core group ultimately controls key parameters (e.g. new market listings, contract upgrades). Users implicitly trust these parties to act in good faith, absent evidence to the contrary.

- **Infrastructure & UI:** The protocol's front-end (web app) and backend services are centralized. Users must trust that the UI (flash.trade and beast.flash.trade) interfaces correctly with the contracts and that there are no malicious scripts. Wallet integrations (Phantom, Solflare) and DEX aggregators (for internal swaps) are also dependencies outside the protocol's control.

SECTION D – RISK SURFACE (Non-probabilistic)

- **Smart Contract Vulnerabilities:** All funds in Flash.Trade are controlled by on-chain code. Although multiple security audits are cited [22], one "critical" issue was reported in the latest audit [23] (details undisclosed). There may be undiscovered bugs or logic flaws. A hack or exploit could drain pools (as in other DeFi perps). The use of multiple pools and swaps adds complexity and attack surface (e.g. reentrancy, integer errors, or oracle manipulation via on-chain price feeds).

- **Oracle Risk and Price Manipulation:** Price data comes from oracles. An attacker might manipulate prices (especially if the backup oracle's data sources are not robust) to trigger unfair liquidations. If Pyth experiences downtime or bad data, even with a backup, the protocol could misprice trades. The project claims circuit-breakers [29], but without details we do not know their thresholds or response time. Sudden large price moves (flash crashes) could cause mass liquidations or pool imbalances.

- **Pool Liquidity & Collateral Risk:** In severe market conditions, a high-leverage position might require the pool to pay out a large amount of the collateral asset. While Flash.Trade claims the pool will always cover any position (i.e. "asset-backed") [10] [9], in practice a depleted pool could become insolvent. For example, if a large trader longs an asset with 100× leverage and the price surges, the pool must pay out up to 100× the collateral. The Synthetic Pool restricts PnL to 10×

on current assets [31], but that limit may be raised later (per docs). If the pool backing is insufficient, traders or LPs could face losses beyond expectations. Conversely, if many positions liquidate at once, even with pooled collateral there could be slippage or payment delays.

- **Stablecoin and External Asset Risk:** USDC depegging or suspension by its issuer would directly impact all short positions (since shorts must be collateralized by USDC [9]). Similarly, price fluctuations in XAUT (gold token) and their management by Tether introduce external risk. If Circle or Tether change terms or freeze tokens, the protocol's balances could be affected.

- **Centralization and Admin Key Risk:** The closed-source nature and unknown governance means there may be hidden admin keys or upgradability. If the team retains a multisig or single private key for the program, that key is a single point of failure or risk (either compromise or malicious use). Even if the intention is trustless, the possibility of a central backdoor is a structural risk.

- **Security and Custody:** While flash.trade has no deposit account (non-custodial), the UI and any off-chain services (e.g. any backend for order management) could be targets for phishing or hacks. Users must verify they use the correct domain and wallet. There is no mention of bug bounties or security programs beyond audits; unknown is the responsiveness to vulnerabilities.

- **Regulatory Exposure:** Flash.Trade offers perpetual contracts on fiat commodities and possibly equities. This can attract securities and derivatives regulation (e.g. CFTC/SEC in the U.S., MiFID in Europe). There is no public indication of compliance measures or KYC/AML processes. Its incorporation in the UAE [32] does not guarantee global regulatory immunity. Users could be subject to legal risk if local laws prohibit trading certain derivatives.

- **Market / Economic Risk:** Low user adoption (current TVL ~\$31k [24]) implies thin liquidity and potential high volatility in the protocol's own token or FLP pools. Token price crashes or lack of real volume would reduce LP yields, possibly harming incentives. A large dip in the FAF token (used as collateral and governance) or a market crash could cascade into the platform (e.g. collateral deficiency leading to forced liquidations).

- **Operational Risk:** Solana's network reliability is a known issue (short outages in the past). Any Solana halt would freeze trading and liquidity actions on Flash.Trade. Also, maintenance or upgrades on the protocol (if needed) could require coordinated action by validators or developers, which might introduce downtime or risk.

SECTION E – OPEN QUESTIONS

- **Team and Governance:** Who are the project founders and operators? Are they known industry figures or pseudonymous? What legal entity runs the protocol (beyond "UAE-incorporated")? How is the FAF token distributed and who holds controlling stake? (No public disclosures of team or token distribution are provided.)

- **Contract Control:** Is the core smart contract upgradable? Is there an admin or upgrade authority? The documentation does not specify whether a DAO or multisig can change parameters or code. If upgrades are possible, how is the upgrade key secured or governed?

- **Oracle Details:** What exactly constitutes the "backup oracle"? Which data sources or protocols feed into it? Under what conditions will Pyth be replaced by backup data? Are there additional oracles (e.g. Chainlink) or is it fully internal on Solana?

- **Equity Perpetuals:** The marketing mentions "stocks" and Coinbase excludes those from cryptocurrencies, so how will "stock" perps be implemented? Will they use tokenized stocks (e.g. via a wrapped solution) or synthetic price feeds? Without answers, it's unclear how (and if) real-world equities can be traded on-chain here.

- **Risk Parameters:** What are the exact margin requirements, liquidation thresholds, and funding rate mechanisms for each asset? The docs describe a 10× PnL cap on Pool 2 currently [31], but other numerical parameters (maintenance margin, fees) are not public. This matters for trader and LP risk but is not documented.

- **Insurance/Reserve:** Does Flash.Trade maintain any insurance fund or reserve (in case of extreme losses)? The design argues it is not needed [10], but in practice many perps platforms hold some buffer. No mention of an insurance vault or similar is made.

- **Fee Structure:** What are the trading fee rates? How are fees split between LPs and protocol (for FAF buyback or similar)? The docs imply LPs earn "real yield from fees" [33], but exact percentages or fee schedule are not listed. Are there withdrawal or minting fees on FLP?

- **Flash Beasts NFTs:** The Flash Beasts NFT program is said to have been "retired". Can remaining NFT holders still stake or claim rewards, or were they completely replaced by FAF token staking? Details on how the transition was handled are missing.

- **Degen Mode / Funded Wallet:** The docs mention features like "Degen Mode" and "Funded Wallet" (presumably for riskier trades or demo mode), but their rules and safeguards are not publicly explained. Are these modes audited and safe?

- **Audit Transparency:** While audit reports exist, we have not reviewed them in detail. It is unclear whether all "critical" issues have been fixed. The project has no public bug bounty program or third-party certification (e.g. CertiK) that we found.

- **On-Chain Data:** Current on-chain liquidity and open interest data are scarce. We question whether published TVL (\~\$31k [24]) fully captures all pools, and how accurately wallet analytics reflect real usage.

SECTION F – WHAT THIS REPORT DOES NOT CLAIM

This report is a factual summary of publicly available information on Flash.Trade. **It is not investment advice or a recommendation**. We do *not* make any claims about the future success, profitability, or safety of the protocol beyond what is verifiable from cited sources. We have not performed a live penetration test, financial audit, or internal code review—only a documentation review. Any design descriptions, failure modes, or open questions identified here are for risk-awareness, not assertions of likelihood. This report does *not* endorse Flash.Trade, and it is not a marketing or trading document. No confidential or non-public information has been used, and we do not assume completeness beyond the sources cited. Any forward-looking or speculative points are clearly noted as such. In short, this is an unbiased information summary, not a conclusive judgment or an exhaustive examination.

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